Type MS · Calculate the acid test ratio

Answer 1 of 2 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

4 (a)	**AO2 - 2 marks** **1.14 (2)** If correct answer not given then award workings as follows: 12 – 4 = 8 **(1)** 8/7 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits for *Saha* of becoming a multinational business. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • As a multinational, *Saha* would manufacture its robots for hotels and restaurants in other continents of the world • *Saha* could benefit from producing robots to help with cleaning and shopping for the home to a wider target market **AO3** • *Saha* may benefit from economies of scale by producing a higher number of robots which may lower its average unit costs and improve its competitiveness • Which could increase the number of robots sold and the profitability of *Saha*	**(6)**

Type MS · Calculate the acid test ratio

Answer 1 of 2 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the acid test ratio

Answer 1 of 2 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Evaluate the effects on *Saha* of introducing Total Quality Management (TQM) to its business. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • TQM should ensure that the robots are manufactured without any faults • TQM involves training every employee in quality assurance to reduce waste and costs **AO2** • If the robots are subject to quality checks throughout the production process, they should be delivered to the restaurants with no defects • Successful training of each employee should lead to a reduction in waste in the production of the new robots build for the home **AO3** • This may improve the reputation of *Saha* and attract more customers to buy the robots, increasing the revenue for its business • Trained employees who are focussed on quality should result in zero defects of robots to ensure Saha meets their objective of making the robots long lasting **AO4** • However, TQM involves disruption to the manufacturing facility as new processes are introduced which could cause delays /late deliveries of robots to the hotels and hospital customers • However, the cost of training all employees in TQM takes time and is costly which could reduce profitability in the short term and increase the price of the robots making *Saha* uncompetitive in the robot market	**(12)**

Type MS · Calculate the acid test ratio

Answer 1 of 2 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the acid test ratio

Answer 1 of 2 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the acid test ratio

Answer 1 of 2 · Question 4 part a · 2 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

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Answer 2 of 2 · Question 4 part a · 2 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

4 (a)	**A02 = 2 marks** 64 650 – 42 450 = 22 200 (1) 22 200/54 550 = 0.41 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**
Question Number	Indicative content		Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Banks may need details of the financial situation of *HRMW* to assess the risk to them of granting a loan for the new sporting products. • The banks would want to look at the accounts for several years to see if there is a pattern or trend in *HRMW*'s success and if it has any large debts. **AO3** • The banks would want to see if *HRMW* has sufficient funds to pay back not only the loan but also the interest. • If *HRMW* can prove that it has traded successfully for a number of years, it might receive a lower rate of interest on any loan.		**(6)**

Type MS · Calculate the acid test ratio

Answer 2 of 2 · Question 4 part a · 2 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the acid test ratio

Answer 2 of 2 · Question 4 part a · 2 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • *HRMW* can judge its success by looking at changes in its revenue. • *HRMW* can also measure its success by customer satisfaction. **AO2** • Between 2020-2022 *HRMW*'s estimated revenue is set to increase by 8.51%. • If customers are satisfied with the goods, they will return to *HRMW*. **AO3** • If *HRMW* compares its revenues with those of its competitors, it gives it an indication of its relative success. • If customers are happy with the sports products, they will spread the word to family and friends, which could increase demand for these products leading to increased sales. **AO4** • However, revenue is only a part of the success of the business. There are other factors to be considered such as shareholders receiving dividends on their investment and this may conflict with *HRMW*'s plans for expansion. • However, customer satisfaction may require changes in prices, and this could impact on revenue and profits, leading to a less successful business.	**(12)**

Type MS · Calculate the acid test ratio

Answer 2 of 2 · Question 4 part a · 2 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the acid test ratio

Answer 2 of 2 · Question 4 part a · 2 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the acid test ratio

Answer 2 of 2 · Question 4 part a · 2 marks

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